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5 Tips to understanding the Cash and Bank Foreign Currency Revaluation Process



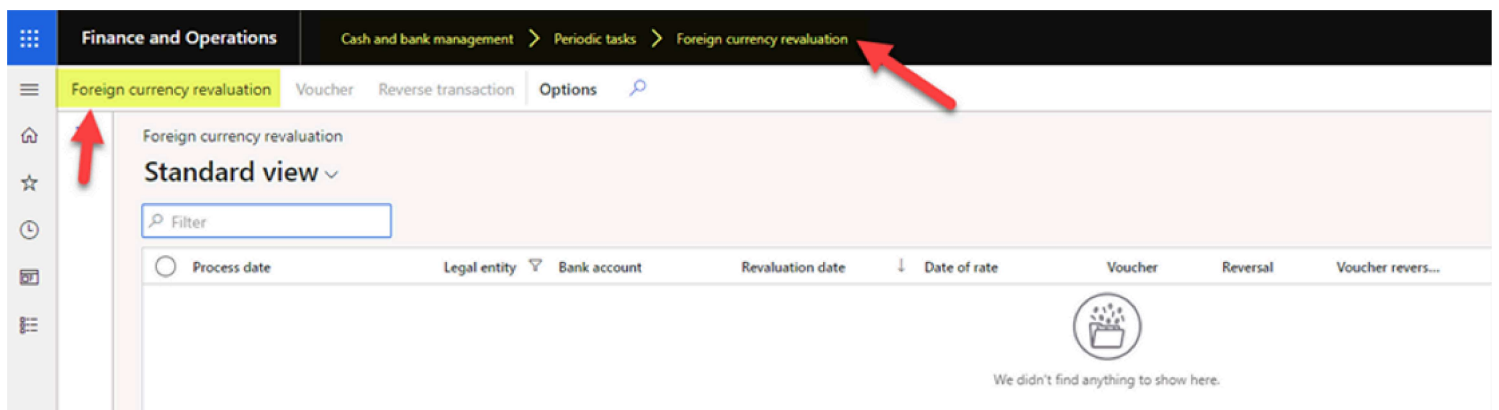
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Tip of the Day: If you use Microsoft D365 Finance and Supply Chain (D365 F&SC) to manage your cash and bank transactions, you may need to revalue them in different currencies. This process can be confusing and challenging, especially if you are not familiar with the settings and parameters involved. In this post, I provide you with 5 tips that will help you run the Cash and Bank Foreign Currency Revaluation Process smoothly and accurately.

To advance your consulting skills, let me share my Microsoft Dynamics D365 F&SC expertise with you by signing for my post notifications at www.intraclouddynamics.com or www.aliciakeener.com or subscribe to my YouTube Channel @aliciakeener6544

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Tip 1: If using the Foreign Currency Revaluation process, you cannot post to the Bank GL account directly (Ledger to Ledger posting), you need to always post to the Subledger (Bank to Ledger) because the Bank ledger and subledger must always be in agreement. If they are not, when you run the Foreign Currency Revaluation process in Bank and the Foreign Currency Revaluation process in GL, they will calculate different amounts and the ledger and subledger will not match.



Tip 2: If the currency on the Bank is the same as the Accounting currency, then, you do NOT run the currency revaluation.

Tip 3: If the currency on the Bank is the same as the Accounting currency, then, if you were to try to run the currency revaluation. The Bank will not show up in the list.

Tip 4: The numbers all come from the Bank Transactions (not the Trial Balance)

The screenshot displays two windows from the Dynamics 365 Finance application. The top window, titled 'Foreign currency revaluation preview', shows a table with columns: Currency, Ledger account, Exchange rate type, Bank amount, Exchange rate, Last revalued accounting amount, New accounting amount, Revaluation gain/loss, and Exchange rate type. The bottom window, titled 'Bank transactions -- Finance and Operations', shows a table with columns: Date, Voucher number, Bank t..., Payment refe..., Deposit slip, Chec..., Currency, Amount in transaction currency, Amount, Amount in reporting currency, Reconciled, and Cleared date. Two red arrows point from the 'Bank amount' and 'Last revalued accounting amount' columns in the top window to the 'Amount in transaction currency' and 'Amount' columns in the bottom window, respectively.

Currency	Ledger account	Exchange rate type	Bank amount	Exchange rate	Last revalued accounting amount	New accounting amount	Revaluation gain/loss	Exchange rate type	Exchange rate	Last revalued r...	New rep...
EUR	110130	Default	100,001.00	100,000.0000	135,498.99	100,001,000.00	99,865,501.01	Default	100,000.0000	135,498.99	100,001.00

Date	Voucher number	Bank t...	Payment refe...	Deposit slip	Chec...	Currency	Amount in transaction currency	Amount	Amount in reporting currency	Reconciled	Cleared date
10/1/2022	GNIL000826					EUR	1.00	1,000.00	1,000.00		
1/1/2015	GNIL000042					EUR	40,000.00	53,799.60	53,799.60	✓	
1/1/2015	GNIL000041					EUR	60,000.00	80,699.39	80,699.39	✓	

Tip 5: If you need to create a Bank Transaction without changing the Trail Balance, you create a General Journal and post from BANK to LEDGER.

The screenshot displays the 'General Journal' window in Dynamics 365 Finance. It shows a table with columns: Date, Voucher, Company, Account type, Account, Description, Debit, Credit, Offset company, Offset account type, Offset account, and Offset transaction text. A red arrow points from a text box labeled 'This is the Bank GL Account' to the 'Offset account' column, which contains the value '110130-001-'. The 'Account type' is 'Bank' and the 'Account' is 'USMF EUR'.

Date	Voucher	Company	Account type	Account	Description	Debit	Credit	Offset company	Offset account type	Offset account	Offset transaction text
2/1/2023	GNIL000827	usmf	Bank	USMF EUR		100.00		usmf	Ledger	110130-001-	

